TEACHER GUIDE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

# External influences

Unit 2: Managing business activities
**2.3.5 External influences**



A revision lesson. Pupils run a car dealership in firms of four and revise external influences on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Passing on the rise

Round 1

The pound falls, so your imported cars cost more. Your buyers are very price sensitive.

**If you pass on the full rise, what is most likely?**

- **A** Sales fall a lot and revenue falls
- **B** Sales stay the same
- **C** Revenue rises with the higher price
- **D** Your costs fall in pounds

**ANSWER**

**✓ Sales fall a lot and revenue falls**

**Why:** With elastic demand, a higher price cuts sales by more, so revenue falls.

## 2 Pound and your firm

Round 1

You import cars from Europe and sell some to Irish dealers. The pound rises.

**Which two effects are most likely?**

- **A** Your cars cost more in Ireland
- **B** Imports cost you less
- **C** Irish dealers buy more from you
- **D** Your costs do not change
- **E** Imports cost you more

**ANSWER**

**✓ Your cars cost more in Ireland**
**✓ Imports cost you less**

**Why:** A strong pound: imports cheaper, exports dearer.

## 3 Euro cars in pounds

Round 2

Three cars on offer from European dealers, priced in euros.

**Order by cost in pounds, cheapest first?**

- **A** €23,100 at €1.05 to the £
- **B** €27,500 at €1.10 to the £
- **C** €30,000 at €1.25 to the £

**ANSWER**

**1. €23,100 at €1.05 to the £**
**2. €30,000 at €1.25 to the £**
**3. €27,500 at €1.10 to the £**

**Why:** £22,000, £24,000 and £25,000.

# Topic tasks

## 4 Euro sale in pounds

Round 2

You sell used cars to an Irish dealer, in euros.

**Fall in what the deal earns you, in £?**

| | |
|---|---|
| The deal, in euros | **€10,000** |
| £1 buys, before | **1.00** |
| £1 buys, now | **1.25** |

**ANSWER**

**£2,000**

€10,000 ÷ 1.00 − €10,000 ÷ 1.25 = £2,000

**Why:** A stronger pound earns an exporter fewer pounds for the same euros.

## 5 Fixed or variable

Round 3

Your £100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

**Which costs less over the year, and why?**

**A** Fix at 7%

**B** Stay on the variable rate

**ANSWER**

**✔ Fix at 7%**

**Why:** Variable: £3,000 + £4,500 = £7,500 for the year; fixed at 7%: £7,000.

## 6 Rates: two effects

Round 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

**Which pair of effects is most likely?**

**A** More buyers, dearer stock loans

**B** More buyers, cheaper stock loans

**C** Fewer buyers, cheaper stock loans

**D** Fewer buyers, dearer stock loans

**ANSWER**

**✔ Fewer buyers, dearer stock loans**

**Why:** Dearer credit puts buyers off and raises the interest on your stock loan.

# Final questions

Each pupil answers 6 final questions on external influences. They come from these 10 questions.

Then each pupil writes one short answer: “Evaluate the biggest external threat to your firm.”

1. A UK importer buys in euros and sells in pounds. Sterling depreciates against the euro; prices are unchanged. What is the immediate likely effect?
   ✔ **Each car costs more in pounds, cutting margin**

2. A UK importer must pay €240,000. The rate moves from £0.84 per euro to £0.89 per euro before payment. How much extra sterling is required?
   ✔ **£12,000**

3. A UK importer expects to pay €400,000. Each £0.01 rise in the sterling cost of one euro changes its cost by how much?
   ✔ **£4,000**

4. A dealer sells most new cars on finance and most used cars for cash. Interest rates rise. What is the most likely effect?
   ✔ **New car sales fall more: finance costs rise; used are cash**

5. The UK economy enters a recession. Which dealer is likely to be hit hardest?
   ✔ **One selling new luxury cars, mostly on finance**

6. A dealer imports a car priced at €30,000. Before payment the rate moves from £0.85 to £0.88 per euro. By how much does the sterling cost rise?
   ✔ **£900**

7. The Bank of England raises interest rates. Why might a dealer selling most cars on finance see demand fall?
   ✔ **Monthly repayments rise, so fewer customers can afford them**

8. Inflation rises to 8%. What is the most direct effect on a dealership?
   ✔ **Its costs, such as wages and parts, rise**

9. The pound strengthens against the euro. What happens to the sterling cost of the cars a UK dealer imports from Germany?
   ✔ **It falls**

10. A dealer pays for its forecourt stock with a variable-rate loan. The Bank of England raises interest rates. What is the direct effect on the dealer?
    ✔ **Its interest costs rise, so profit falls**